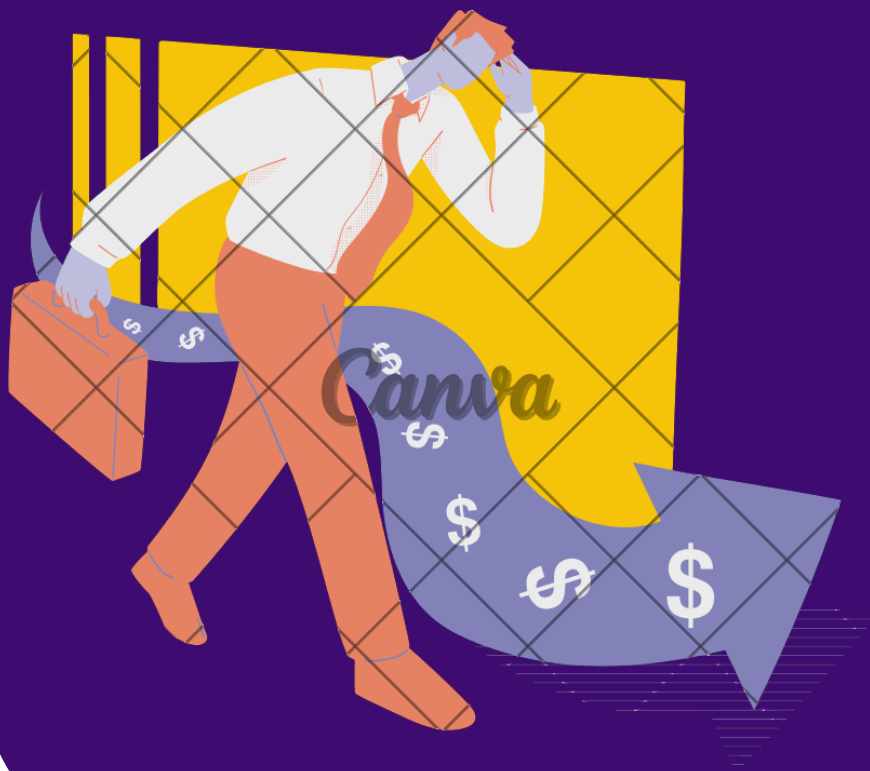


5 Tips for Cash Flow Discipline in New Businesses



For US
Startups &
Small
Business
Owners

1 Model your runway – obsessively

Investors fund companies that know exactly how long they can survive. Before any raise, founders must have a real-time runway model: $\text{current cash} \div \text{monthly burn}$.

Update it weekly — not quarterly. Account for committed spend, variable hiring, and milestone-triggered costs. Vague runway answers in a Series A pitch are a red flag for any VC.

Safe Runway
18+ mo

Danger zone
< 6 mo



Start your raise when you have 12+ months left — not 4.

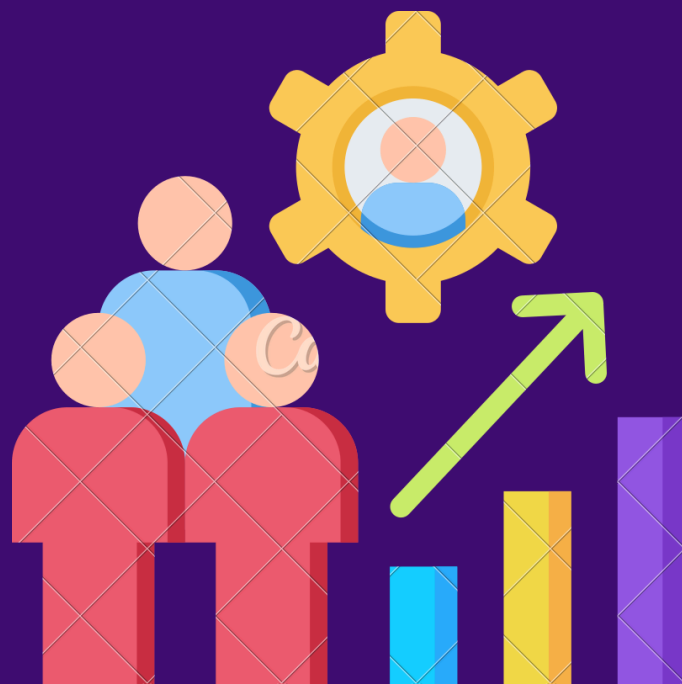
2 Separate burn types: growth vs. keep-the-lights-on

Not all burn is equal. Investors differentiate between structural burn (salaries, infra, rent — unavoidable) and growth burn (paid acquisition, experimental hires, new market entry — discretionary).

Knowing this split lets you cut fast in a downturn and defend spend in a pitch. Build your budget in two buckets from day one.

Structural
Fixed

Growth
Variable



If growth burn stops tomorrow, can you still operate? The answer should always be yes.

3 Make your financials investor-grade before the pitch

VCs will run diligence on your financials — and messy books kill deals.

You need GAAP-aligned monthly P&Ls, a clean balance sheet, and a 3-statement model that ties.

Accrual accounting matters here; cash-basis books signal immaturity. Set this up at Seed stage — retrofitting financials during a Series A process is painful and costly.

Must Have
3-stmt

Accounting
Accrual



P&L + Balance Sheet + Cash Flow Statement — linked and reconciled every month.

4 Set a spend approval framework before capital hits

Most startups underestimate how fast a fresh round evaporates without spend governance. Before wiring even a dollar, define: who can approve what threshold, which cost centers are ring-fenced, and what triggers a board-level review.

Implement procurement controls in your finance stack — Ramp, Brex, or Airbase all give you real-time budget tracking against departments.

Approval tiers
3-level

Review cycle
Weekly



Founder, VP, Board — every dollar above a threshold needs a chain of approval.

5 Track unit economics like an investor, not a founder

Cash discipline at scale is about unit economics: CAC, LTV, payback period, and gross margin. These determine whether growth is actually creating value or just consuming cash.

A company burning \$500K/month to acquire customers with a 36-month payback is a red flag — not a growth story. Know your CAC:LTV ratio cold before any Series A conversation.

HEALTHY LTV:CAC
3:1+

PAYBACK TARGET
< 18 mo



Gross margin below 50% in a SaaS business will stall your Series A — fix it before you pitch.

Get your finances pitch-ready – before the VC asks



connect@trueledgerconsulting.com



[TrueLedger Consulting](https://www.linkedin.com/company/trueledgerconsulting)



www.trueledgerconsulting.com



True Ledger Consulting Inc.
5900 Balcone Drive STE-100
Austin , TX, 78731, USA



New Delhi, India

Work with us today